

AN ESSAY IN ECONOMIC HISTORY

---

RATTY2TAILS  
ESSAYS IN  
ECONOMIC HISTORY

# The Powder and the Spark

*Capital, Empire, and the Hidden Origins of the  
First World War*

WRITTEN BY RATTY2TAILS

*A bullet in Sarajevo lit the match. But the match fell upon a world that  
forty years of bankers, arms-makers and empire-builders had already  
soaked in fuel.*

ON THE QUESTION THAT MATTERS — NOT WHO LIT THE MATCH, BUT WHO  
POURED THE PETROL

Almost everyone can recite the opening scene. A young man steps from a Sarajevo pavement, raises a pistol, and an Austrian Archduke slumps in the back of an open car. Within six weeks the great powers of Europe have tumbled, like a row of dominoes, into the trenches. It is the most repeated origin story in modern history, and it is not so much wrong as fatally incomplete. The assassination mattered; a single act of violence redirected the whole trajectory of the twentieth century. Yet that bullet fell into a world already saturated with combustible material. The question worth asking is not who struck the match in the summer of 1914, but who had spent the previous four decades pouring the petrol. Follow the railway concessions, the arms contracts, the secret loans and the colonial land-grabs, and a more disquieting picture emerges — one in which the war was less an accident of diplomacy than the logical product of an entire economic order.

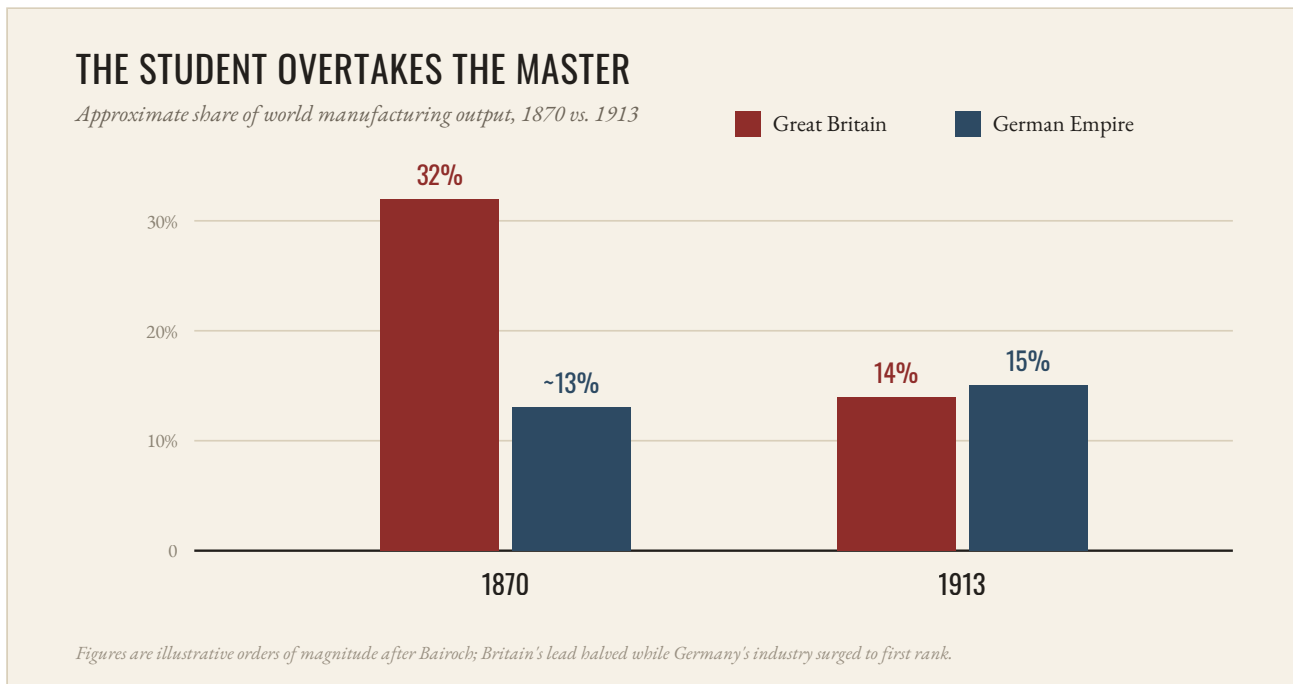
This essay traces that order. It is not a denial that politicians blundered, that alliances tightened like a noose, or that mobilisation timetables acquired a terrible momentum of their own. All of that is real. But beneath the diplomacy lay something harder and more durable: industrial capitalism in its most expansive phase, competing empires hungry for markets and raw materials, and a financial system that had wound the fate of nations together with threads of debt. To understand 1914, we must begin not with a map of Europe but with its balance sheet.

## **I The Balance Sheet of a Continent**

---

By the 1890s Europe was passing through the most explosive burst of industrial growth in human history, and nowhere was the transformation more startling than in Germany. Unified only in 1871, after the defeat of France, the new empire vaulted within a single generation from a patchwork of agricultural states into the industrial powerhouse of the continent. By 1913 Germany was pouring out more steel than Britain, France and Russia combined; its chemical and electrical firms set the world standard; and its population had swollen from roughly forty-one million at unification to nearly sixty-seven million on the eve of war.

Set against this, Britain's position looked deceptively secure. The empire still spanned a quarter of the globe, the Royal Navy still ruled the seas, sterling was still the world's reserve currency, and the City of London remained the nerve-centre of international finance. But the industrial lead that underwrote all of it was slipping. Britain had produced close to a third of the world's manufactured goods in 1870; by 1913 its share had fallen to around a seventh, while Germany's had climbed past it. The workshop of the world was being out-produced by its former pupil, and everyone in London knew it.



**FIGURE 1** The relative decline of British industry and the rise of Germany were not abstractions. They were read in London as an existential threat to an imperial system resting on two pillars — naval supremacy and financial dominance.

This was no genteel commercial rivalry. Britain's empire rested on two pillars — command of the sea and command of capital — and Germany, under Kaiser Wilhelm II, was preparing to test both. The architecture of British global power could survive a great deal, but not a serious challenge to those foundations at once.

## II A Place in the Sun

When Wilhelm II took the throne in 1888 he inherited a Germany that Otto von Bismarck had carefully cast as a satisfied continental power. Bismarck's genius had been restraint: he understood that a state wedged between France and Russia could not afford to frighten its neighbours into coalition, and so he built alliances, managed rivalries, and kept Germany clear of the colonial scramble. The young Kaiser had no taste for such patience. He dismissed Bismarck, and launched what came to be called *Weltpolitik* — world policy. Germany would no longer be content as a land power hemmed into the centre of Europe. It would demand colonies, build a great navy, and claim, in Wilhelm's phrase, its place in the sun.

Here lies the first thing the conventional narrative tends to misread. *Weltpolitik* is usually filed under German militarism, a supposed Prussian appetite for aggression. But at root it was an economic programme before it was a military one. Germany's booming industries needed raw materials; its swelling population needed markets; and its capitalists, sitting on great reservoirs of surplus profit, needed somewhere to invest at a decent return. The colonies that Britain, France, Belgium and the Netherlands had already carved out across Africa and Asia were not merely flags on a map. They were captive markets and cheap sources of rubber, tin, copper, cotton and oil. Germany had come late to the banquet, and found the table almost bare.

No one grasped this dynamic more clearly than the English economist J. A. Hobson, whose study of imperialism, published in 1902, would later shape thinkers from Lenin to Keynes. The new imperialism,

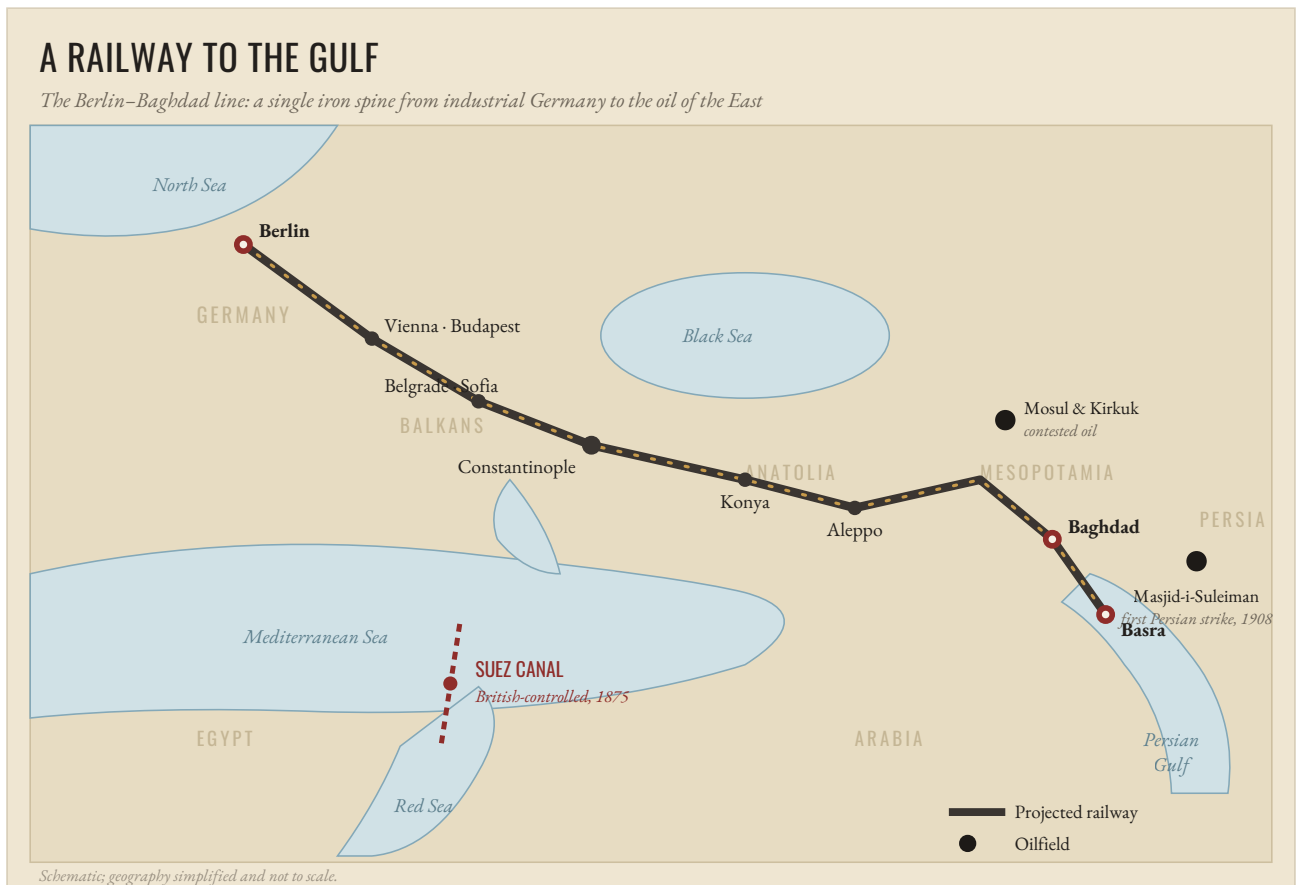
Hobson argued, was driven less by national glory or civilising mission than by the problem of surplus capital. As mature economies saw domestic returns decline, wealthy investors needed fresh frontiers in which to deploy their money at higher rates — and colonies supplied exactly that, offering cheap labour, cheap resources and consumers with no choice but to buy from the colonial power. Hobson wrote with Britain in mind, but the logic pressed harder on Germany, whose great banks — Deutsche, Dresdner, Disconto-Gesellschaft and Darmstädter — were sitting on pools of capital that demanded an outlet. The most audacious outlet of all ran across two thousand miles of the Ottoman Empire.

### **III The Iron Road to Baghdad**

---

If schoolrooms teach a single cause of the war it is usually the alliance system; if a second, the naval race. The Berlin-to-Baghdad Railway, one of the most consequential infrastructure schemes of the age, rarely earns a mention — and the omission flatters the comfortable view that the war was about pride and defensive pacts rather than oil, trade routes and the future shape of empire.

The project began in 1888, the very year of Wilhelm's accession, when a consortium led by Deutsche Bank won an Ottoman concession to build a line from Constantinople into the Anatolian interior. Modest enough on paper; but the true ambition was to push the rails on — through the Balkans, across Anatolia, down through Mesopotamia to Baghdad, and at last to Basra on the Persian Gulf. Imagine the meaning of a single unbroken track binding the industrial heart of Germany to the warm waters of the Gulf. It would sidestep the Suez Canal entirely — the canal whose Egyptian shares Disraeli had bought for Britain in 1875, with Rothschild money — and it would hand Germany overland access to the markets of the Middle East and, above all, to the oil beginning to be found beneath Mesopotamia.



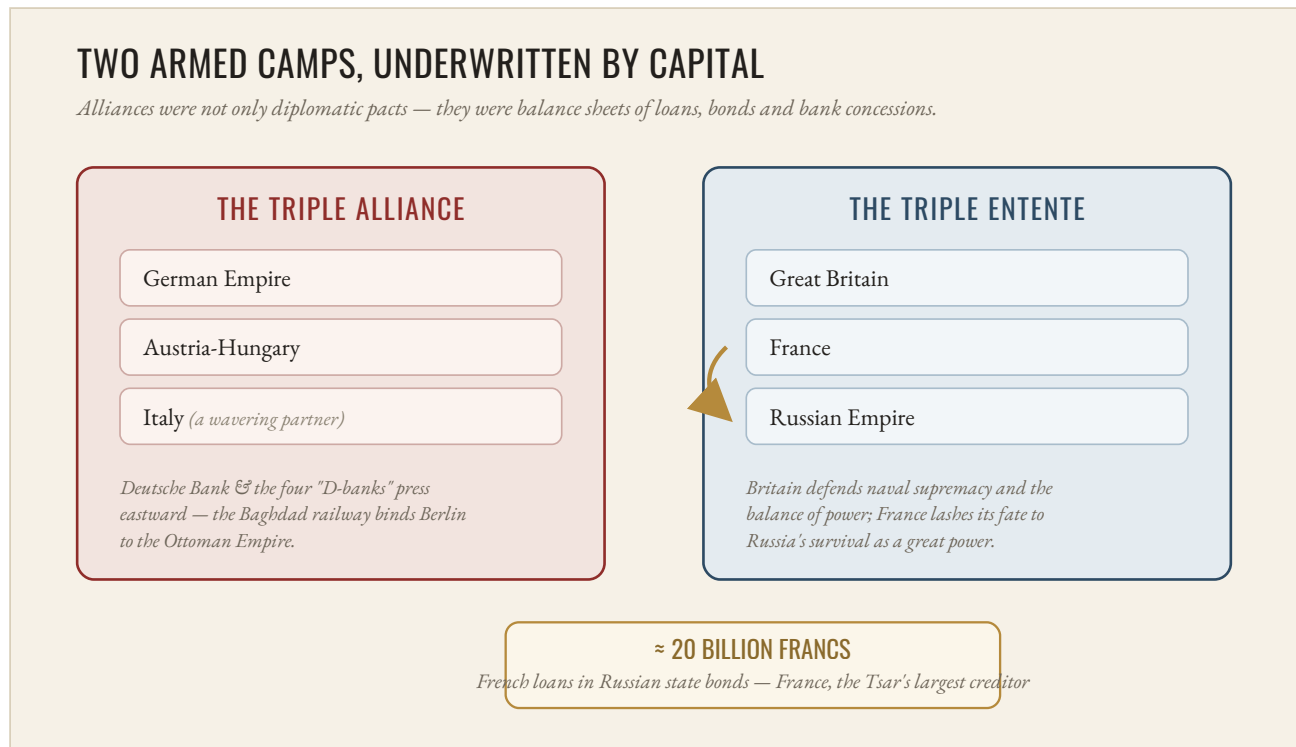
**FIGURE 2** The projected line threatened three British interests at a stroke: the Suez monopoly, the Royal Navy's oil supply, and the imperial road to India. Russia saw a German blade aimed at the Caucasus; France saw the balance of power disturbed. Geography is simplified for clarity.

Oil is where the story turns, and where the standard account so often falls silent. In 1908 a great strike at Masjid-i-Suleiman, in Persia, announced the arrival of Middle Eastern petroleum on the world stage. Britain, already converting the Royal Navy from coal to oil under Winston Churchill at the Admiralty, grasped the implication instantly: whoever controlled this oil would control the fuel of modern navies, armies and industry. The Anglo-Persian Oil Company was formed in 1909, and in 1914 — weeks before the war — the British government took a controlling stake. But the oil around Mosul and Kirkuk, in Mesopotamia, remained unclaimed, and a completed Berlin-Baghdad line would place Germany astride it. To London this was a dagger pointed at the navy's fuel, at Suez, at the whole British position from the Levant to India. Russia read the same railway as a German knife at the soft underbelly of the Caucasus; France, with its own Ottoman investments and vast loans to Russia, saw the delicate balance of power tilting. A commercial railway had become a geopolitical fault line.

#### IV Alliances Made of Money

When historians say the war was caused by a web of alliances, they are not wrong — but they are describing a symptom, not the disease. Those alliances were not weightless diplomatic courtesies. They were underwritten by billions in loans, bond holdings and trade agreements. Consider the depth of the Franco-Russian bond: by 1914 French investors held something like twenty billion francs of Russian government debt, making France by

far the Tsar's largest creditor. This was not an alliance of mere convenience; it was a financial entanglement so profound that France's economic fortunes were stitched directly to Russia's survival as a great power.



**FIGURE 3** The Triple Entente was as much a financial bloc as a military one; the Triple Alliance, an attempt by the Central Powers to build an economic sphere capable of competing with it. Capital and diplomacy had become difficult to tell apart.

Seen this way, the two camps of 1914 were rival economic systems as much as rival armies. The Entente of Britain, France and Russia was bound by credit as well as treaty; the Triple Alliance of Germany, Austria-Hungary and Italy was an attempt by the Central Powers to assemble a sphere of their own, large enough to compete with the Entente's formidable financial resources. Behind the diplomats stood the bankers, and behind the treaties stood the ledgers.

## v The Merchants of Armageddon

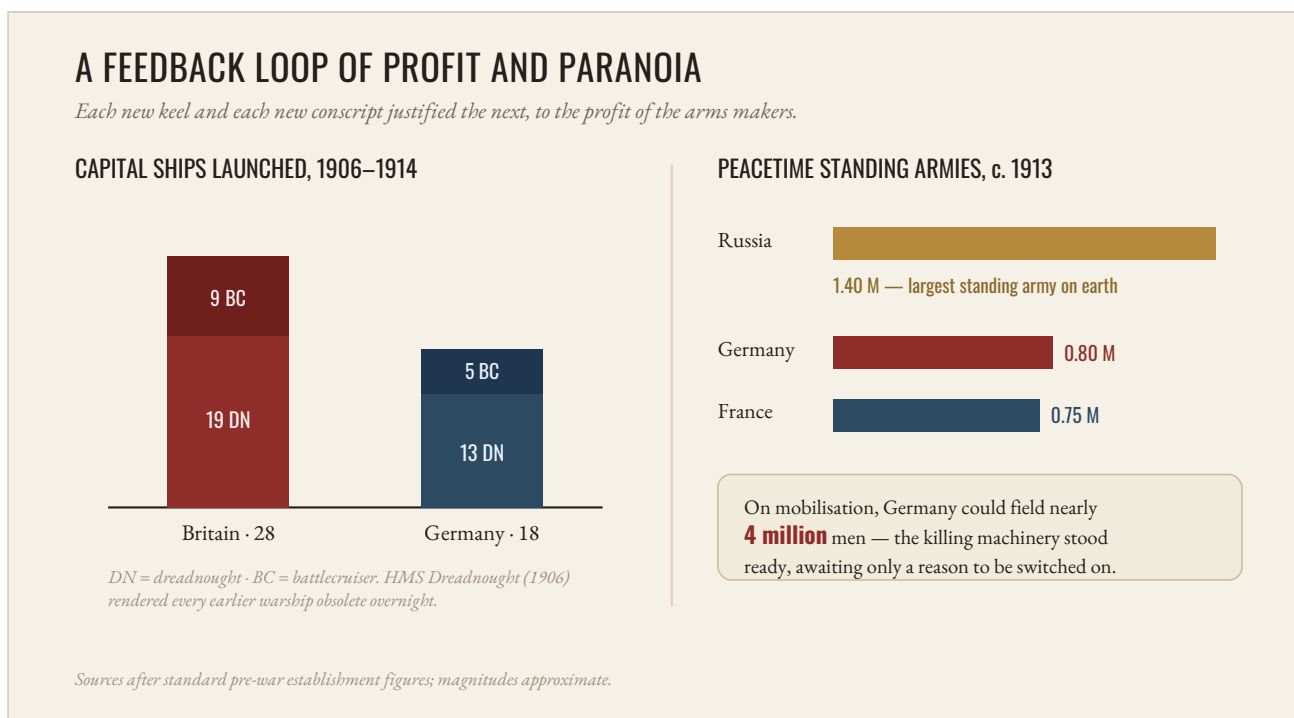
The pre-war arms build-up is usually told as a tale of national competition — each state forging bigger guns and longer ships to match its rivals. True enough, as far as it goes. But the telling leaves out the most lucrative characters in the drama: the private manufacturers who grew rich selling weapons to every side at once. The quarter-century before 1914 was, for the arms trade, a golden age, and at its centre sat a handful of colossal firms — Vickers and Armstrong-Whitworth in Britain, Schneider-Creusot in France, and Krupp in Germany, the largest arms-maker on earth.

What ought to unsettle us is that these firms did not sell only to their own governments. They sold to everyone. Krupp, the pride of German industry, supplied artillery to Belgium, the Netherlands, Romania, the Ottoman Empire and even Russia. Vickers furnished warships and weapons to Japan, Brazil and Turkey, several of which would one day face Britain. Armstrong-Whitworth built ships for the Japanese navy that were turned against

Russia in the war of 1904–05. These were not rogue deals struck behind official backs; they were conducted with the knowledge and often the active blessing of governments, for the arms trade was among the most profitable industries in the world and its barons wielded enormous political influence. Krupp's bond with the German state was so intimate that when Friedrich Alfred Krupp died in 1902, the Kaiser himself delivered the eulogy.

The race had a self-feeding logic the manufacturers exploited with brilliance. When Britain launched *HMS Dreadnought* in 1906 — a battleship so advanced it rendered every existing warship obsolete overnight — it touched off a frenzy. Germany answered with its own dreadnoughts; France, Russia, Italy, Austria-Hungary, even Greece and the Ottomans scrambled to build or buy them. Each new hull launched by one power became the justification for the next launched by another, and every ship that slid down the slipway enriched the steelmakers, the shipyards and the arms firms that built it.

*“It was a feedback loop of profit and paranoia, and the arms-makers were the ones spinning the wheel.”*



**FIGURE 4** Between 1906 and 1914 Britain out-built Germany at sea, while on land the continental armies swelled to a scale without precedent. By 1913 the machinery of mass killing stood assembled, waiting only for a reason to be set in motion.

Nor was the contest confined to the sea. On land the great armies were expanding at a dizzying pace. The German army had numbered some four hundred thousand in 1870; by 1913 its peacetime strength exceeded eight hundred thousand, with the capacity to mobilise nearly four million. France, with a smaller population, kept three-quarters of a million under arms; Russia, the colossus of the east, maintained the largest standing army on earth at close to one and a half million. And these masses were being equipped with weapons of unprecedented lethality — machine guns spitting hundreds of rounds a minute, artillery of ever greater range,

and the chemical research that would soon yield poison gas. The killing machinery was ready. It awaited only a reason to be switched on.

## **VI Fischer's Bombshell**

---

For a generation after the guns fell silent, the question of blame was answered simply: Germany did it. That was the verdict of the victors, enshrined in Article 231 of the Treaty of Versailles — the notorious war-guilt clause that obliged Germany to accept sole responsibility and pay crippling reparations. The reasoning seemed plain. Germany had handed Austria-Hungary a "blank cheque" of unconditional backing after the assassination; Germany had been first to declare war on Russia and France; Germany had violated Belgian neutrality. The guilt followed.

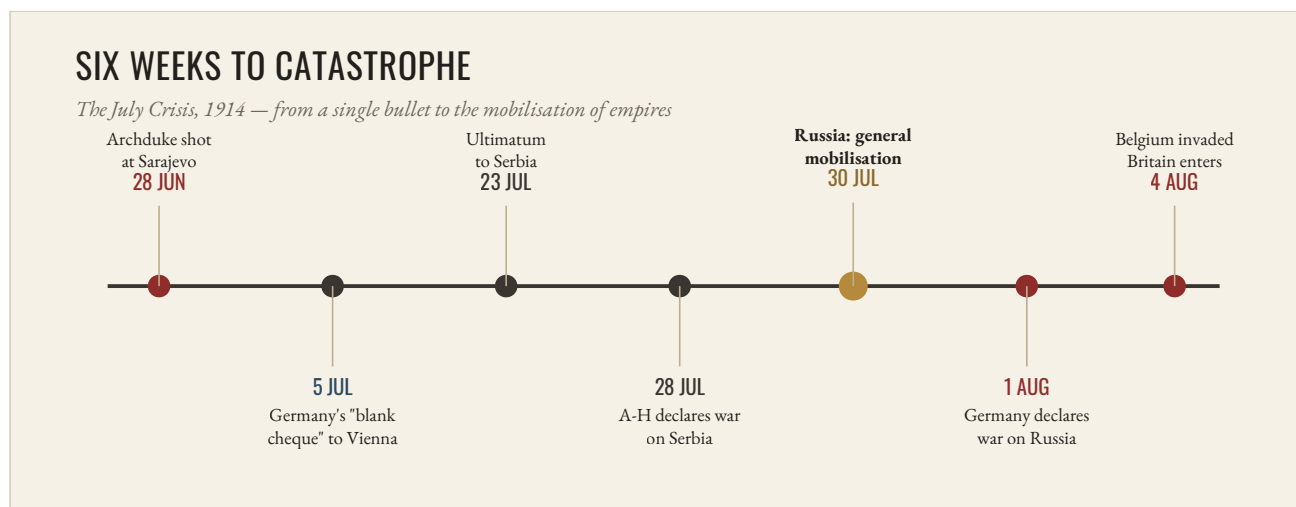
Then, through the 1920s and 1930s, a wave of revisionist historians — a number of them quietly funded by Berlin — set about dismantling the verdict. They pointed to Russia's early mobilisation, to France's hunger for revenge after 1871, to Britain's failure to make its intentions plain. The war, they argued, had been an accident: a collective failure of diplomacy in which all the powers shared the blame. As Lloyd George later put it, the nations had somehow slithered over the brink into catastrophe. It was a comforting view. It absolved everyone, turning the war into a tragedy without villains, and it held the field for decades.

Then, in 1961, a German historian named Fritz Fischer dropped a bomb on the whole debate. Drawing on documents from the German archives that had not been seen before, Fischer argued that Germany had not stumbled into war at all — it had deliberately willed one. His central exhibit was the September Programme, a memorandum drafted by Chancellor Bethmann Hollweg on 9 September 1914, only weeks into the fighting. The document set out German war aims in astonishing detail: the annexation of Luxembourg and slices of Belgium and France; a vast customs union under German control, a proto-European order run from Berlin; the seizure of French colonies in Africa; and the permanent reduction of France so that it could never rise again. These, Fischer insisted, were not the giddy improvisations of early victory but the considered fruit of decades of expansionist thinking in German political, military and industrial circles.

The backlash was savage. Conservative historians accused Fischer of betraying his own country; the revered Gerhard Ritter was said to have wept while lecturing against him; the German government even tried to block his travel to the United States. But the work could not be suppressed, and it opened a floodgate. And here Fischer's thesis rejoins our economic story, for when one looks at who was pushing Germany toward confrontation, the fingerprints of capital are everywhere. The Pan-German League, that aggressive pro-war lobby, was bankrolled by industrialists and landowners who stood to gain from expansion. Krupp had an obvious stake in conflict. Deutsche Bank, the engine behind the Baghdad railway, wanted the Ottoman Empire firmly inside Germany's orbit. The agrarian Junkers craved new lands in the east. Fischer's student Volker Berghahn would later observe that *Weltpolitik* had in fact failed by 1914 — it had won Germany neither the colonies nor the markets its industrialists wanted, but it had succeeded in alarming every other great power and driving them into hostile alliance. Germany's leaders were trapped: they had promised their people a place in the sun, but the colonial sun was setting, and the window for expansion was closing fast.

## VII Not Germany Alone

And yet Fischer's thesis, for all its force, is not the whole truth. To pin the war on Germany alone is as reductive as pinning it on no one — and this is the second great distortion in the popular memory. Look closely at Russia in the July crisis and you find a government quite as reckless as Germany's. Russia's decision to order general mobilisation on 30 July 1914 was the single most consequential military act of the crisis. Mobilisation conjured precisely the nightmare German planners had dreaded for a generation: a war on two fronts at once. And Russia's generals knew it. They knew that mobilisation would force Germany's hand, because Germany's only war plan — the Schlieffen Plan — required a lightning blow against France through Belgium before wheeling east to meet Russia. Russian mobilisation made German mobilisation inevitable; German mobilisation through Belgium made British entry inevitable.



**FIGURE 5** From assassination to general war in barely six weeks. The pivotal turn came not in Sarajevo but on 30 July, when Russia's order to mobilise set the interlocking timetables of the great powers irreversibly in motion.

Why did Russia move? Partly from solidarity with Serbia, partly from fear that Austria-Hungary would crush the last independent Slavic state in the Balkans. But also — and this is less often said — because Russia's own military spending had been surging, financed in large part by those twenty billion French francs, as part of a modernisation programme due for completion in 1917. Germany's generals knew this too, and reasoned coldly that if they waited until 1917 Russia would be too strong to beat. This was the logic of preventive war: strike now, while you still can, before the balance shifts against you for good.

France, for its part, is too easily cast as the reluctant partner dragged in by its alliance. Its conduct in July tells another story. President Poincaré, visiting St Petersburg as the crisis broke, appears to have urged Russia to stand firm. France's military had been planning a war of revenge against Germany since the humiliation of 1871, when Alsace and Lorraine were torn away; its war doctrine, Plan XVII, was aggressively offensive, calling for an immediate thrust into German territory. France did not stumble into the war. It had been preparing for it, in mind and in matériel, for forty-three years.

And Britain — the supposed champion of Belgian neutrality, the reluctant warrior drawn in only to uphold international law? Britain's decision was at bottom about the balance of power. A German victory over France

and Russia would have raised a single dominant power on the continent, commanding the Channel ports, dominating European trade, and wielding a navy that could one day contest British supremacy. That was intolerable to British imperial and financial interests. Sir Edward Grey, the Foreign Secretary, understood it perfectly — but he also understood that neither Parliament nor the public would march for a war fought openly for commerce and empire. The violation of Belgium, real and genuinely outrageous as it was, supplied the moral justification he needed to carry a divided cabinet and a sceptical nation into war. In the cold arithmetic of geopolitics, it was extraordinarily convenient.

## **VIII Sleepwalkers and Their Critics**

---

More recent scholarship has tried to move past the blame game altogether. The historian Hans-Ulrich Wehler and the Bielefeld school read foreign policy as an extension of domestic struggle — Germany's aggression abroad as a way of managing the tensions at home between a rising industrial bourgeoisie, a declining agrarian aristocracy and a restive working class. War, on this view, served as a safety valve, channelling discontent outward and binding a fractured society against a common enemy. And it was not Germany's predicament alone. Britain wrestled with the Irish question, labour unrest and the suffragettes; France with the Dreyfus affair and the chasm between left and right; Russia with the ghost of 1905; Austria-Hungary with its own centrifugal nationalisms. In every capital there were voices insisting that war would forge unity and silence dissent.

In his celebrated 2012 study *The Sleepwalkers*, the Australian historian Christopher Clark pressed the case furthest. The war, he argued, was the work of no single nation and no single decision, but of a shared political culture in which statesmen across Europe acted on partial information, mutual misreadings and catastrophic miscalculation — sleepwalkers stumbling toward the abyss with their eyes half closed. It is a powerful image, but it has its critics. The German historian Annika Mombauer has warned that it risks relativising responsibility into nothing, dissolving the deliberate choices made in Berlin and Vienna — to reach for war rather than diplomacy — into a fog in which no one is to blame.

And this is the heart of the matter. The truth about 1914 is not a single clean narrative; it is layered, contradictory and uncomfortable. Germany bears a heavier share of responsibility than any other single power — the evidence for that is overwhelming. But Germany did not act in a vacuum. It acted within a global system that rewarded aggression, prized expansion and made war the natural extension of economic policy. The men who chose war in the summer of 1914 were neither stupid nor deranged. They were reasoning clearly within a system that had been assembled over decades by the collision of industrial capitalism, imperial rivalry and great-power politics. The tragedy is not that they could not see what they were doing. The tragedy is that they could see it perfectly well — and within the logic of that system, it made sense.

## **IX The Reckoning**

---

When the guns at last fell silent on 11 November 1918, the world that emerged was unrecognisable. Four empires — German, Austro-Hungarian, Russian and Ottoman — had been swept away. Some twenty million

people were dead, soldiers and civilians alike, and another twenty-one million maimed. The financial cost was staggering: Britain alone spent on the order of thirty-five billion dollars, a sum that would take decades to repay and that quietly dethroned London from the summit of world finance. France lost perhaps a tenth of its men of working age. Germany was loaded with reparations that would poison its politics for a generation and help breed, just twenty years on, a still greater catastrophe.

And the arms-makers? They did well enough. Krupp survived. Vickers survived. The banks survived. The systems that had manufactured the conditions for war were not dismantled but merely restructured, rebranded and turned loose to help compose the next disaster. That is the uncomfortable thread the comfortable story leaves out. The assassination was real, the alliances were real, the mobilisation timetables were real — but none of them explains why some sixty-five million men were summoned to fight a war that almost none of them wanted. For that, one has to follow the money: to ask who profited, who invested, who forged the weapons, who financed the railways, who carved up the colonies, and who decided that the question of who would master the twentieth century could be settled only by drowning a generation in blood.

What most accounts get wrong, then, is not the facts but the emphasis. They tell us, faithfully, the *what* and the *how* — the dead Archduke, the falling dominoes, the ticking timetables. They tell us far less often about the *why*. And the why, beneath all the rest, was capital: markets and raw materials, debt and dividends, and an economic order that had come to treat the rivalry of nations as a zero-sum game whose final arbiter was force. That order did not perish in 1918. It carried on through the twenties and thirties, through a second world war and a cold one, and it persists today in altered forms and new theatres — but with the same underlying logic. The next time someone tells you the First World War began with a bullet in Sarajevo, remember the powder. The spark explains the moment. Only the powder explains the war.